

New Framework for Stablecoin Growth

Our previous report [Stablecoins and the New Payments Landscape](#) (August 2024) looked at the role of stablecoins in the global payments system, examining why traditional banking rails, credit cards and mobile vendors have to adapt to the changing needs of their customers.

In our follow up report, we examine **how the complexities of stablecoins' integration into the existing financial system might limit the growth of stablecoins' total market size**, such as the net impact on total US Treasury demand.

Our stochastic model forecasts that stablecoins could reach a market cap range centered around \$1.2T by the end of 2028. In our view, this doesn't require unrealistically large or permanent rate dislocations to materialize; instead it relies on incremental, policy-enabled adoption compounding over time.

Persistent growth in stablecoins lowers front-end funding costs at the margin, whereas sharp redemptions can tighten them. **We estimate a \$3.5B stablecoin 5-day inflow could compress 3-month T-bill yields by around 2 bps within 10 days** and up to 4 bps within 20 business days. Substitution effects could put downside risks on that estimate.

Finally, we believe **regulatory developments like the GENIUS Act** are crucial for establishing clear reserve rules and liquidity buffers, which could reduce the risk that large redemptions will turn into a cascade of forced T-bill selling.

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